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Tesla Earnings: It's All About the Dream

Company's earnings came with more ambitious goals, but investors have to stay focused on the fundamentals

By Charley Grant

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Tesla Motors CEO Elon Musk has made big promises. PATRICK T. FALLON/REUTERS

Enthusiasm for the Model 3 mass-market car has powered Tesla Motors **TSLA -1.71%** ▼ to lofty heights. But first-quarter results should remind investors that the future isn't too far away.

Tesla reported revenue of \$1.15 billion and an adjusted loss per share of 57 cents Wednesday. That narrowly topped consensus expectations.

But, expectations for the future, rather than current performance, tend to dictate what eventually happens to stock prices. That is especially true for Tesla.

Chief Executive Elon Musk, as usual, made big promises. Tesla now expects to deliver 500,000 vehicles by 2018, two years earlier than the previous goal. And the company affirmed that Model 3 production will begin late next year. This comes after Model 3 preorders exceeded even the most optimistic projections.

More ambitious goals should be great news, but the new plan deserves thorough scrutiny. Meeting production deadlines has never been Tesla's strong suit. Quality issues have plagued the rollout of the Model X sport-utility vehicle, which came to market years after originally promised. Meanwhile, two senior manufacturing executives are leaving the company.

Mr. Musk also said the new goal "will likely require additional capital." He added that 2016 capital expenditures will likely be 50% higher than the previous guidance of \$1.5 billion. This marks an abrupt reversal, since Tesla said it wouldn't need to raise additional capital back in February. Tesla's use of Model 3 deposits to pay down its asset-backed line of credit should also raises eyebrows.

And, as always, at more than 50 times projected 2018 earnings, Tesla shares are priced for perfection.

Hope for a bright future still drives the stock. That hope will be put to the test—and soon.

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